

UNIT-4: GEOGRAPHICAL INDICATION, INDUSTRIAL DESIGN AND IC LAYOUT

Geographical Indications: Concept, historical perspective, potential benefit, renewal and status of Geographical Indications – Geographical Indications in India – Infringement of GI – Status of GI registration in India. Industrial Designs and IC Layouts: Registration of Industrial Designs – Copyrights in Industrial designs – Terms, procedure and conditions for Industrial Designs – Infringement of ID – Integrated circuit layout design – Trade secrets.

CONCEPT OF GEOGRAPHICAL INDICATION

- Geographical Indication (GI) is a sign used on a product that originates from a specific geographical location.

Geographical indication protection extends to a wide range of products including, but not limited to:

- Agricultural Products
- Handicrafts
- Industrial Products
- Foodstuffs
- Wine and Spirit Drinks

First, it identifies the goods as to the origin of a particular region or locality;

Secondly, it suggests to consumers that goods come from a region where a given quality, reputation, or other characteristics of the goods are essentially attributed to their geographic origin;

Third, they promote the goods of producers of a particular region.

Types of geographical indication

The geographical indications have been classified into four types, namely-

1. Quality-neutral geographical indications,
2. Qualified geographical indications,
3. Direct geographical indications, and
4. Indirect geographical indications.

Quality-neutral geographical indication

There is no apparent connection between the distinctive features of the products and the place of their origin for the quality-neutral geographical indications. It merely demonstrates that the product is made at the indicated location by the source indication.

Qualified geographical indication

The qualified geographical indications establish a link between the attributes or reputation of the products and the nation, area or place that they are concerned with. A single name is used to designate or identify these products. These are often referred to as applications of origin.

Direct geographical indication

The products of geographical indication tags for the direct geographical indications are denoted by the names of the geographical places they belong to.

For example, tea from Darjeeling is referred to as Darjeeling tea, and champagne from the place Champagne is famously known as champagne.

Indirect geographical indication

If the public at large believes that the products are identifying a certain geographical origin, the indirect geographical indications are termed “non-geographical names or symbols”.

For instance, consider the term “feta,” which has no geographical place in Greece but is yet claimed by Greece to be associated with a region and protected by geographical indication law. Another example is the rice variety known as “Basmati,” which has no specific location in India. The Trade Agreement on Intellectual Property Rights covers “other signs of geographical significance, whether... composed of words, phrases, symbols or emblematic images,” in the event that indirect geographic indicators are recognized.

HISTORY OF GI IN INDIA:

The history of GI in India is as follows

- **Early Period:**
Right from the medieval period, when there was no proper legal protection for trade, products based out of geographical regions were famous. People from Europe and other parts of the world wanted to acquire those products because of its regional characteristics, such as spices from India and tea from China. Initially, GI was not protected in India.
- **TRIPS:**
One of the most important and significant milestones in the development of the protection of Intellectual Property Rights, especially with respect to geographical indications was the TRIPS Agreement. The TRIPS agreement can be considered as a revised and updated version of all the international agreements. India as a member of World Trade Organization implemented the act for protecting Geographical Indications
- **Geographical Indications of Goods (Registration & Protection) Act, 1999 (GI Act):**
India introduces the Geographical Indications of Goods (Registration and Protection) Act, 1999? It was due to three controversial cases related to neem, turmeric, and basmati. The act prohibits unauthorized persons from misusing geographical indications and to protect consumers from deception,
- **'Geographical Indications of Goods (Registration and Protection) Rules, 2002 (GI Rules):** The rules relating to GI registration and protection was framed and implemented in the year 2002.
- **First GI: Darjeeling Tea:** Darjeeling tea was the first product that got a GI tag in India in 2004–05. Till now around 365 products have been added to the GI list. Recently Kashmir saffron and black rice of Manipur got the GI tag. Read this article to know the full list of GI tagged products in India.
- **Geographical Indications of Goods (Registration and Protection) (Amendment) Rules, 2020:**
The act was amended in the year 2020. One of the highlights of the amendment is that it will further strengthen the Intellectual Property Ecosystem as it has reduced the fees

to be paid for the GI registration process and has further eased the procedure for registration of an authorized user of the registered geographical indication.

REGISTRATION PROCESS:

The registration process for GI is as follows

STEP 1: Filing of application

The association of persons or producers or any organization or authority should represent the interest of producers of the concerned goods and should file an application for geographical indication registration.

Application must be made in triplicate.

The application shall be signed by the applicant or his agent and must be accompanied by a statement of case.

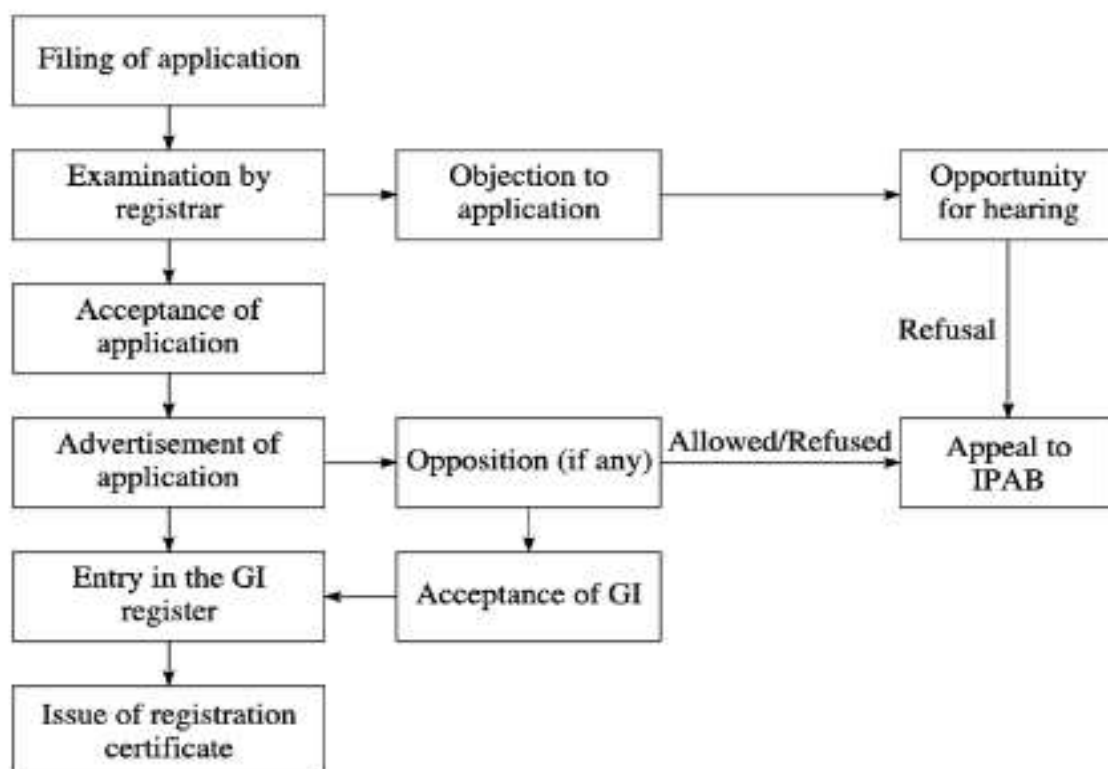


Figure 7.1 Registration Process of GI.

STEP 2 and 3: Preliminary scrutiny and examination

The Examiner will scrutinize the application for any deficiencies.

The applicant should within one month of the communication in this regard, remedy the same. The content of statement of case is assessed by a consultative group of experts will versed on the subject.

They will ascertain the correctness of particulars furnished.

Thereafter an Examination Report would be issued.

STEP 4: Objection to application

If the Registrar has any objection to the application, he will communicate such objection. The applicant must respond within two months or apply for a hearing. The decision will be duly communicated. If the applicant wishes to appeal, he may within one month make a request. The Registrar is also empowered to withdraw an application, if it is accepted in error, after giving an opportunity of being heard.

STEP 5: Publication in the geographical indications Journal

Every application, within three months of acceptance shall be published in the Geographical Indications Journal.

STEP 6: Opposition to Registration

Any person can file a notice of opposition within three months (extendable by another month on request which has to be filed before three months) opposing the GI application published in the Journal.

The registrar shall serve a copy of the notice on the applicant.

Within two months the applicant shall send a copy of the counter statement.

A date for hearing of the case will be fixed thereafter.

STEP 7: Registration

Where an application for a GI has been accepted, the registrar shall register the geographical indication. If registered the date of filing of the application shall be deemed to be the date of registration.

The registrar shall issue to the applicant a certificate with the seal of the Geographical indication's registry.

Benefits of GI

Many people and associations across the globe often get confused while thinking about whether it is worthwhile to obtain GI protection or not. Some of the benefits of registering a geographical indication are as follows, which will help you in understanding its importance.

1- ENHANCES ECONOMIC GROWTH

2- PREVENTS UNAUTHORIZED USE OF GI TAGS

3- EXPANDS BUSINESS

4- INCREASES TOURISM

1- ENHANCES ECONOMIC GROWTH

The protection of geographical indications leads to the overall economic prosperity of the manufacturers and producers. Furthermore, the marketing and promotion of the products with the GI tags enhance the secondary economic activities in that specific region, which in turn boosts the regional economic development. Last but not least, the protection of geographical indications creates a positive image and reputation of the product in the minds of the consumers and rewards the producers with incentives and better ROI.

2- PREVENTS UNAUTHORIZED USE OF GI TAGS

The registered holder of the GI tag has all the legal rights to prevent anyone not belonging to the GI region from using their GI tags. The owners can also initiate legal proceedings against the unauthorized user to save their reputation from being damaged.

3- EXPANDS BUSINESS

The prime purpose of registering a geographical indication is to seek protection for specific products produced in a particular geographical region, which further encourages and motivates the marketers to expand their business at a global level. Furthermore, the protection of geographical indications boosts exports and helps the producers in earning well for themselves.

4- INCREASES TOURISM

The protection of GI tags builds a global reputation for the products. People around the world notice various GI products from different regions and get motivated to visit those regions and use such products. Therefore, it helps in the growth of the tourism industry of that particular region as well.

RENEWAL AND STATUS OF GI:

The registration of a geographical indication shall be for a period of ten years, but may be renewed from time to time in accordance with the provisions of this section.

- **REGISTRATION:** An application for registration of the Geographical Indication can be made by an association of persons or producers or any organisations or authority established by or under any law for time being in force; who must be representing the interest of the producers of the concerned goods; and desirous of registering a geographical indication in relation to such goods.”
- **AUTHORIZED USER:**
- An authorized user is a person who has been registered as such under **Section 17** of the Geographical Indications of Goods (Registration and Protection) Act, 1999 act. A producer of the goods in respect of which geographical indication has been registered is eligible to register himself as an authorized user.
- In order to register oneself as an authorized user, the producer needs to provide a statement and other documents of facts which would allow the registrar to ascertain the veracity of their claims. The registration of an authorized user is valid for 10 years, or till the date on which the registration of the related geographical indication expires.
- **REGISTER:** Where an application for a **GI** has been accepted, the **registrar** shall **register** the geographical indication.
- **RENEWAL:**
 - 1) A registered Geographical Indication shall be valid for 10 years and can be renewed on payment of renewal fee.
 - 2) At the time before the expiration of last registration of geographical indication, the Registrar shall send the notice to the registered proprietor or the authorised user as the case may be, about the date of expiration and the conditions as to payment of fees and upon renewal of which registration shall be obtained.
 - 3) Failure to do so may result in removal of geographical indication
 - 4) Where a geographical indication has been removed by the Registrar on grounds of non-payment of the renewal fees may after six months and within period of one year from the expiration of last registration of geographical indication may, on an application in a prescribed manner and after payment of prescribed fees may restore the geographical indication for period of 10 years from the expiration of last registration

Status of GI in India

1. As of March 2020, India had registered 361 Geographical Indication Products.
2. Registration of GI's began in the year 2004-05 after the above-mentioned law came into effect in 2003.
3. Darjeeling Tea of West Bengal was the first product to receive the GI tag in India. Both the product and the logo received the GI tag.
- 4.

Some of the Examples of Indian geographical indications which are registered in India are:

- Basmati rice
- Darjeeling tea
- Banaras Brocades and Sarees
- Coorg orange
- Phulkari
- Kolhapuri chappals
- Kangivaram sarees
- Agra Petha

INFRINGEMENT OF GEOGRAPHICAL INDICATIONS

A geographical indication is also violated by a person who is not a registered proprietor or authorized user, who uses another geographical indication for the goods, which is actually true as to the region, or locality from where the goods originated and publicly misrepresentation that goods originate in a region, or a locality to which such registered geographical indicators belong.

According to Article 22.1 of the GI Act, "A registered GI is infringed by a person who not being an authorized user .

Therefore, it is illegal to use a registered geographical indication if someone-

- uses the product's geographic indicator to suggest in a way that deceives the public that the items are made somewhere other than where they really originate,
- makes use of the geographic indication in a way that would be considered unfair competition,
- uses a different geographical indication for the commodities in a way that deceives the public into believing that the items are made in the area, region, or place that is associated with the registered geographical indication.

The reasons behind infringement are

- Unauthorised Use
- Passing Off
- False Representations

REMEDIES FOR INFRINGEMENT

- Civil Remedies
- Injunction
- Damages
- Delivery Of the Infringing Labels and Indications Containing Products
- Criminal Remedies (Falsification and Misrepresentation)

six months to three years imprisonment and a fine of not less than rupees fifty thousand but may extend to rupees two lakh

Remedies relating to infringement of geographical indications are similar to remedies related to trademark infringement. Similarly, under the (Indian) Geographical Indicators Goods (Registration and Protection) Act, 1999, falsification of a geographical indication. Remedies which are available for conservation of geographical indications may be broadly classified into two categories:

(i) Civil remedies

• **Injunction**

Injunctions include temporary injunction and permanent injunction. An injunction is granted for the protection of violations of related items, documents or other evidence in respect of the subject of the suit.

• **Damages**

The remedy of damages or account of profits in the form of compensatory damages is available to prevent infringers from infringement. Damages (other than nominal losses) or accounts of profits may be ruled out

• **Delivery of the infringing labels and indications containing products**

It is in the court's discretion to order the infringer to deliver up infringing labels and indications for destruction by taking relevant circumstances into consideration the court may or may not order for such remedy.

(ii) Criminal Treatment.

Criminal remedies are more effective as compared to civil remedies because the former can be disposed of quickly. Pendency of civil suits does not justify a stay of the criminal proceedings which involve the same question. Criminal proceedings directly attack the violator's honour and social status. In some cases he comes forward for the Settlement of the matter out of court to save their reputation. Criminal action is taken in the case of following reasons:

- Falsifying and incorrectly applying geographical indications to the goods.
- Selling goods to which false geographical indications apply.
- Misrepresentation of a geographical indication in registered form.
- Improperly describes a place of geographically connected business indication Registry.
- Falsification of entries in the register.

The punishment granted for the infringement offences varies from six months to three years imprisonment and a fine of not less than rupees fifty thousand but may extend to rupees two lakh. However, the court for adequate and special reasons in writing may grant lesser punishment.

Cases

Banganapalle Mango

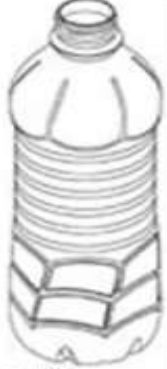
'King of Fruits' means mangoes from Banganapalle received a G.I. tag in the year 2017. The government-fixed logo features a yellow-coloured shiny fruit around which the tagline says "Banglapple Mango from Andhra Pradesh," showing farmers with images of a man and a woman. From now on anyone has to apply to become the first authorized user to sell or produce and this will require a No Objection Certificate (NOC) from the Commissioner of Horticulture Development Agency, Government of Andhra Pradesh, Department of Horticulture.

The fruit is also known by many types of sages such as Beneshan, Banahan, Benishan, Chapati, Safeda, Banganapalli, Banginapalli, Banganapalle, etc. The main attraction of the fruit is that it can maintain its quality in cold storage for three months. Documents submitted to the Registry stated that 'the prominent feature of Banganapel mangoes is that they have very light

spots on their skin, stones are diagonal in shape and have very thin seeds, which have sparse and soft fibers.

INDUSTRIAL DESIGNS

Industrial designs are those designs that give ornamental or aesthetic value to a product, which is then manufactured industrially. An industrial design may consist of three-dimensional (3D) features such as the shape of a bottle or vase used in various industries or two-dimensional (2D) features such as patterns for textiles and wallpaper that serve the purpose of decoration

 <u>Article Name:</u> Bottle <u>Design Number:</u> 223506 <u>Owner:</u> Pepsico, Inc.	 <u>Article Name:</u> Cooler For Drinks <u>Design Number:</u> 246916 <u>Owner:</u> Pepsico, Inc.	 <u>Article Name:</u> VEHICLE (CASE 2) <u>Design Number:</u> 315254-001 <u>Owner:</u> TATA MOTORS LIMITED	 <u>Article Name:</u> Crusher For Crushing Of Coal <u>Design Number:</u> 279820 <u>Owner:</u> Tata Steel Limited
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REGISTRATION OF INDUSTRIAL DESIGNS

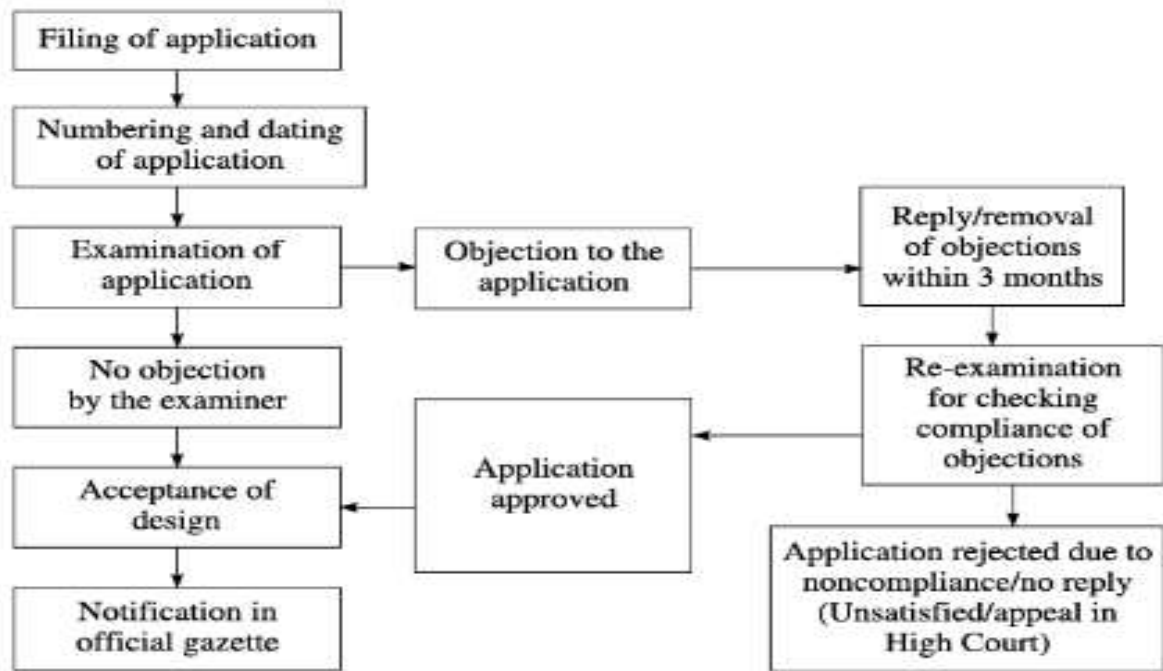


Figure 6.2 Process for Registration of Industrial Designs.

Steps involved in registering a Design in India:

a) Design Application

A design application is made on Form 1 along with the prescribed fee stating name in full, address and nationality, name of the article, class number and address for service in India.

In India, only a registered a patent agent or legal practitioner can be appointed as an authorized agent. And the application shall also be signed either by the applicant or by his authorized agent.

- Following documents has to be submitted while filing design application:
- Representation in quadruplicate of the article where drawings, photographs, tracings or other representations including computer graphics should clearly show the features of the design from different views.
- A statement of novelty and disclaimer (if any) in respect of mechanical action, trademark, work, letter, numerals should be endorsed on each representation sheet which should be duly signed and dated.
- Power of attorney (if necessary).
- Priority documents (if any) in case of convention application claimed under Section 44 of the Designs Act, 2000
- For small entity, Form 24 & documentary evidences.

b) Initial processing of Design Application

After filing of the design application with the prescribed fee, the design application is accorded with a date and a serial number. The serial number eventually becomes the registration number of the design post-registration.

c) Examination

Once the design application is filed, it will be taken up for **examination** under Section 5 and 44 of the Act.

At this stage, the Examiner of designs does a formality check to determine if the application has fulfilled the prescribed criteria and a substantive examination where the examiner sees if the design is novel and if there are any similar designs already on the Register.

In the examination report, the examiner highlights the Defects or objections in the application, if any, noticed during examination of the application. The examination report is communicated to the applicant or to his agent at the address for service.

The defects notified by the examiner must be corrected within a period of **6 months** from the official date of examination report.

d) Acceptance and Notification

If there are no objections, the design will be registered. However, if there are objections then it is communicated to the applicant who is required to comply with the objections within 6 months from the date of filing of the application.

Once the design application is accepted the same is notified in the Patent Office Journal.

e) Abandonment

In case the applicant fails to respond to the objections or does not comply with the objections raised, then the design shall be deemed to have been abandoned.

f) Hearing

In case the applicant contests the objections, and the defects are not rectified, as required by Controller, a hearing will be provided to the applicant.

The hearing will be appointed within 1-2 months.

After hearing the controller shall decide whether the application should be accepted or not.

The Controller's decision after the hearing is communicated in writing (stating reasons) to the Applicant or his Agent.

Any person aggrieved by the decision of the Controller refusing to register a design may appeal to the High Court. The appeal should be made within three months from the date of the Controller's decision.

g) Registration and Publication

The application is registered once all the requirements are fulfilled by the applicant after which it is published in the Patent Office Journal which is published every Friday.

h) Certificate of Registration

Once the design is registered and details are entered in the Register and a certificate of design registration is issued.

i) Validity

A design registration lasts for a period of 10 years from the date of registration after which an extension can be filed for another 5 years.

COPYRIGHTS IN INDUSTRIAL DESIGNS

There are several forms of **Intellectual Property (IP)**; sometimes it is difficult to determine what type applies to your design or product.

Copyright

Copyright protects original literary, dramatic, musical and artistic works. For example, copyright protection would extend to paintings, photographs, song lyrics, musical composition, novels, and graphic designs.

Although copyright protection is automatic for a work that is original and fixed, there are **benefits to registering copyright**, such as proof of ownership and public notice of the work. Learn more about **Copyright protection**.

Industrial Design

Industrial Design protects the visible and aesthetic features of a product. For example, industrial design protection would extend to a novel shape of a bottle, a novel pattern applied to a chair, and a novel graphical user interface (GUI) on a mobile device. **In order to protect your designs, they must be registered.** Learn more about Industrial Design protection.

Overlapping IP

Sometimes, artistic work may be protected by both Copyright and Industrial Design. For example, if you have created a unique design, the design itself would automatically be protected by **Copyright**. However, with this unique design you plan to incorporate it into a necklace pendant that you sell. For this specific use of the design in a product, you would want to also protect it under an **Industrial Design**.

- Interface between copyright and ID
- Both deal with the protection of creative works
- Different approach
- Industrial design protection criteria differ from copyright protection criteria
- Period of protection
- Industrial designs may also be protected under copyright

TERMS, PROCEDURE AND CONDITIONS OF INDUSTRIAL DESIGNS:

Period of validity of Design Registration

- 1. Initially 10 years from the date of registration
- 2. Later it shall be renewed for every 5 years with applicable fee

Conditions For Registration

- Be new or original registration
- Not been disclosed to the public anywhere by publication.
- Be significantly distinguishable from known designs or combination of known designs.
- Not comprise or contain scandalous or obscene matter.
- Not be a mere mechanical contrivance.
- Be applied to an article and should appeal to the eye.
- Not be contrary to public order or morality.
- Not be prejudicial to the security of India

INFRINGEMENT OF ID:

The unauthorized copying of an existing registered design is considered as design infringement. The section 22 of the Design Act talks about the design infringement, it says that any false or apparent imitation of a registered design without the authorization of the registered design's

owner or proprietor is illegal. Additionally, the section restricts the importation of any chemical or material that closely resembles a registered design.

In simpler terms, when someone else imports, applies, or publishes the registered design, or any evident, fraudulent, or imitation thereof, without the owner's permission, that's called an infringement of the registered design.

A third party manufactures or sells, etc., the registered design or any similar design for commercial purposes (meaning that private or domestic use is excluded) and if the third party is not licensed to do so by the owner of the registered design right, such activity constitutes a design right infringement.

Remedies for Infringement:

- Under Section 22(2)(a) of the Design Act, the one who infringes shall pay a sum (not exceeding) Rs. 25,000/ (Rupees Twenty-five thousand only) for every breach contravened. The total amount shall sum up to (not exceeding) Rs. 50,000 (Rupees Fifty thousand only). The above amount is for the recovery of the Infringement.
- Under Section 22(2)(b), it is mentioned that the owner of the registered Design is vested with certain rights wherein it can call for recovery of damages and make the infringing party liable.
- Section 55 of the Copyright Act of 1957 provides the scope of civil remedies available on the proprietor's registered work. It helps to seek remedies, claim damages or file a suit for injunction against anyone who infringes the registered article under the Act.
- The claimant also enjoys the entitlement along with profits gained by the infringing party upon the infringed design.
- If in any circumstance, the registered user
- stop importing the products and confiscate any such product that holds the power to infringe the rights of the registered person.
- The criminal remedies-punished with imprisonment for a minimum of six months extended up to three years. (Along with fine ranging from 50,000 INR to 2,00,000 INR)
- punishment on second and subsequent crime ----imprisonment for a minimum of one year which can be further extended to three years with a fine ranging from 1,00,000 INR to 2,00,000 INR.

SEMICONDUCTOR INTEGRATED CIRCUIT LAYOUT DESIGN (SICLD) ACT, 2000

- An integrated circuit is a miniature electrical circuit containing electronic devices, some or all of the devices and interconnections of which are embedded in or on a piece of material, usually a semi-conductor material e.g., silicon.
- Integrated circuits are used as computer memory circuits and microprocessors.

They are used in the

- aircraft,
- cars,
- washing machines,
- radios and
- cellular telephones
-

Layout or Topography

- Layout designs, sometimes called topographies, of integrated circuits are the three-dimensional placement of some or all of the elements and interconnections that make up an integrated circuit.
- New layout designs of integrated circuits aim mainly at improving the performance efficiency of the circuitry within the limits of the materials and technologies being used. This should result in more functions being carried out with lower power consumption on the same amount of semi-conductor material. For consumers this means products that are better value for money.

Criteria of registration of Layout Design

Original, distinct, and able to stand out from other layout designs.

A layout design is unique if it is the outcome of the creator's own intellectual work and is not widely used among layout designers and integrated circuit makers at the time of its development. A layout design that consists of a common combination of parts and interconnections among layout-design makers and manufacturers of semiconductor integrated circuits is deemed original if the combination as a whole is the result of the creator's own intellectual work.

The Act prohibits the registration of layout designs that are not original; or that have been commercially exploited anywhere in India or in a conventional country; or that are not inherently distinctive; or that are not inherently capable of being distinguished from any other registered layout design.

Provided, however, that for the purposes of this Act, a layout design that has been commercially exploited for not more than two years from the date on which an application for its registration has been filed either in India or in a conventional country is treated as not having been commercially exploited.

A layout design can only be registered for ten years from the date of submitting an application for registration or the date of first commercial exploitation anywhere in India or in any nation, whichever comes first.

The Indian Semiconductor Integrated Circuits Layout-Design Registry is now based in New Delhi and is administered by the Department of Information Technology (DIT), Ministry of Communications and Information Technology.

TRADE SECRETS

- Trade secrets are [intellectual property](#) (IP) rights on confidential information which may be sold or licensed.

What is a trade secret

Trade Secret, the name itself defines the secret of any trade or business that is known to a limited group of persons and has a commercial value. According to WIPO (World Intellectual Property Organization), Trade Secrets are intellectual property right(s) on confidential information which may be sold or licensed. Trade Secrets do not require registration, unlike other Intellectual Property Rights.

Essentials of a trade secret

- It should have commercial value as it is a secret

- It should not be widely known except to a limited group of persons related to the business
- To keep the information secret, the owner has taken reasonable steps.
-

Types of trade secrets

- **technical information**
- **commercial information,**
- **combination of elements,**
- financial information
- formulas and recipes and
- source codes.
- Financial
- Business
- Scientific
- Technical
- Economic
- Engineering
- Such information, according to federal law, includes:
- Patterns
- Plans
- Compilations
- Program devices
- Formulas
- Designs
- Prototypes
- Methods
- Techniques
- Processes
- Procedures
- Programs
- Codes

Term of Trade Secret registration

- trade secret protection is not limited in time (patents last in general for up to 20 years). It may continue indefinitely as long as the secret is not revealed to the public; trade secrets involve no registration costs (though keeping the information confidential may entail high costs in certain cases);
- **Copyright Law** also protects the trade secrets involved in business data. Further, the Personal Data Protection Bill, 2019 introduced a specialized regulatory approach for the Protection and Privacy of Data of Personal and Non-personal Data in any form (digital or non-digital).
- Section 72 of **Information Technology, 2000** imposes a penalty for breach of confidentiality and privacy.
- Section 405-409 of the **Indian Penal Code, 1860** deals with the cases when there is a Criminal Breach of trust.

